JAYESH HASMUKH SHAH
versus
THE SHERIFF OF ZIMBABWE N.O.
and
METBANK LIMITED
and
DROPTECH (PRIVATE) LIMITED
and
ZEOTECH (PRIVATE) LIMITED
and
DENDYESH (PRIVATE) LIMITED
and
CRYSTAL SERENITY (PRIVATE) LIMITED

HIGH COURT OF ZIMBABWE
COMMERCIAL DIVISION
MUNGWARI J
HARARE: 2 March, 23 July 2026.

Declaratur

N C Zhou for the applicant
M Usavi for the respondent

MUNGWARI J

[1] This is a court application for a declaratory order in terms of s 14 of the High Court Act [*Chapter 7:06*] in which the applicant seeks an order couched in the following terms:

> 1. The first Respondent's letter dated 4 November 2025 be and is hereby declared null and void.
> 2. The Applicant is declared to be a preferential creditor in the sale of second Respondent's immovable property being certain piece of land situate in the district of Salisbury Measuring 1200 Square Metres Called Lot 2 Of Stand 1305b Salisbury Township.
> 3. There shall be no order as to costs."

THE PARTIES

[2] The applicant in this matter is Jayesh Hasmukh Shah an individual whose address for service is care of his legal practitioners. The first respondent is the Sheriff of Zimbabwe, cited in her official capacity as the officer responsible for executing superior court orders. The second respondent is Metbank Limited, a registered commercial bank which is under

financial strain. It is the applicant's judgment debtor. The third – sixth respondents are all registered companies in terms of the laws of Zimbabwe. In addition to the applicant, they are also judgment creditors of the second respondent. The parties have all registered claims against the second respondent with the first respondent.

BACKGROUND FACTS

[3] The applicant and the second respondent were involved in a dispute concerning payments that the second respondent was obliged to make to the applicant. In an effort to resolve the dispute, the parties agreed on payment terms, which were recorded in a deed of settlement. The second respondent subsequently failed to comply with the payment obligations set out in the deed of settlement. As a result, the applicant applied to have the deed of settlement made an order of the court. The application was subsequently granted on 1 June 2025, paving way for execution.

[4] It was a term of the deed of settlement and the court order of 1 June 2025, that the second respondent's title deeds would be released upon payment of the full amounts due. In addition, certain documents held by the applicant as security would also be cancelled.

[5] After the second respondent failed to satisfy the judgment debt, the applicant caused a writ of execution to be issued against the second respondent's immovable property described as Lot 2 of Stand 1305B Salisbury Township. The property was thereafter attached and sold in execution by the first respondent. Following the attachment, multiple judgment creditors which include, third to sixth respondents lodged participating writs in terms of Rule 69 of the High Court Rules, 2021 (SI 202 of 2021) asserting entitlement to share in the proceeds of any sale in execution.

[6] The first respondent formally communicated to the parties by correspondence dated 31 October 2025 regarding the ranking of participating creditors. In the said correspondence, she stated as follows:

> "From the discussions exchanged, it appears there may be differing interpretations regarding the handling of proceeds and related documents following the sale in execution. In this regard, we wish to note, purely by way of observation, that in terms of Rule 69(14)–(16) of the High Court Rules, 2021 (SI 202 of 2021), once participating writs have been properly lodged, the Sheriff assumes responsibility for the distribution of proceeds among judgment creditors.
> The Rules provide that such distribution shall be conducted pari passu, and that the Sheriff is guided by principles of what is just and equitable in effecting that allocation. This is further highlighted in the case of *Chihanga and Another* v *Sheriff*

> *of the High Court* (HB98/2021; HC2141/2019), where the court confirmed that a judgment creditor lodging a participating writ had rights to proceeds despite a prior creditor having settled their debt. The process therefore lies within the administrative and statutory functions of the Sheriff's office."

[7] Pursuant to the the above, the first respondent took the position that the applicant does not hold preferential creditor status and that all participating creditors rank equally. The first respondent further indicated that distribution of the proceeds would be conducted in accordance with r 69 of the High Court Rules, 2021, and that in the absence of any legally recognised preference, the participating judgment creditors would rank *pari passu.*

APPLICANT'S CASE

[8] The applicant disputes this position and contends that he is entitled to preferential ranking in the distribution of the proceeds from the sale in execution of immovable property described as *Lot 2 of Stand 1305B Salisbury Township*. His claim to preference so he states, is grounded on his possession of a court order per MAFUSIRE J, confirming the indebtedness of the second respondent. The order in question states in part the following:

> "2. The Deed of settlement between the parties filed on 1 November 2024 under case number HCHC 63/24 is hereby registered and made an order of the court
>
> 3. As a consequence of para 2 above and in terms of clause 5.D of the deed of settlement, the plaintiff shall return the defendants title deeds and cancel all documents held by him as security for the debt due to the plaintiff as well as the signed section 64 consent by the defendant only upon payment of the full sum due under the court order in case number HCHC 63/24.
>
> 4. There shall be no order as to costs"

[9] Additionally, the applicant claims that the history of his dispute with the second respondent shows that he entered into a sale agreement with the second respondent that specifically related to the property that has been attached and sold in execution. Initially, he brought the property from the second respondent and subsequently entered into a buy back agreement in terms of which the second respondent redeemed the property. In terms of these security agreements, he was given the title deed to property known as *Lot 2 of Stand 1305B Salisbury Township* as security. He contends that he also registered a section 64 consent in terms of the Deeds Registries Act to secure his rights to the property. On the strength of these instruments, he approaches this Court seeking a declaratory order to the effect that he holds preferential creditor status.

RESPONDENT'S CASE

[10] The respondents oppose the application on the basis that, no registered real security exists in favour of the applicant over the immovable property. They contend that a judgment confirming indebtedness does not create a preference in execution nor does possession of title deeds confer a real right capable of ranking ahead of other judgment creditors. According to the respondents, r 69 of the High Court Rules, governs the distribution process and mandates *pari passu* distribution in the absence of a lawful preference. In light of the foregoing factors, the respondents contend that the requirements for the grant of a declaratory order have not been satisfied and accordingly pray that the application be dismissed with costs.

THE ISSUES FOR DETERMINATION

[11] The only issue for determination in this matter is:

i. Whether the applicant has satisfied the requirements for the grant of declaratory relief.

Below I deal with the issue.

THE LAW

[12] The remedy of declaratory relief is provided for in terms of s 14 of the High court Act [*Chapter 7:06*]. The section states that:

> **"14 High Court may determine future or contingent rights**
>
> The High Court may, in its discretion, at the instance of any interested person, inquire into and determine any existing, future or contingent right or obligation, notwithstanding that such person cannot claim any relief consequential upon such determination."

[13] In explaining the meaning of the above provision, this court in the case of *Chombo* v *Minister of Lands, Fisheries, Agriculture, Water and Rural Resettlement & Anor* SC 8/26 p.12 citing the case of *Johnsen* v *AFC* 1995 (1) ZLR 65 (S) at 72 E-F; put it as follows:

> "The condition precedent to the grant of a declaratory order under s 14 of the High Court of Zimbabwe Act 1981 is that the applicant must be an "interested person", in the sense of having a direct and substantial interest in the subject matter of the suit which could be prejudicially affected by the judgment of the court. The interest must concern an existing, future or contingent right. The court will not decide abstract, academic or hypothetical questions unrelated thereto. But the presence of an actual dispute or controversy between the parties interested is not a prerequisite to the exercise of F jurisdiction. See *Ex p Chief Immigration Officer* 1993 (1) ZLR 122 (S)

> at 129 F-G; 1994 (1) SA 370 (ZS) at 376G-H; *Munn Publishing (Pvt) Ltd* v *ZBC* 1994 (1) ZLR 337(S) and the cases cited."

[14] Inherent in the requirements stated above is the need to distil what is meant by direct and substantial interest in the subject matter of the suit. The Supreme Court had occasion to interpret the phrase in the case of *Drum City (Private) Limited* v *Brenda Garudzo* SC 57/18 p.8 wherein GWAUNZA DCJ (as she then was) citing Cilliers AC, Loots C and Nel HC Herbstein and van Winsen, *The Civil Practice of the High Courts and the Supreme Court of Appeal of South Africa* (5th edn, Juta &Co Ltd, Cape Town, 2009) vol. 1 p.217 – 218 held that:

> "A 'direct and substantial interest' has been held to be 'an interest in the right which is the subject-matter of the litigation and not merely a financial interest which is only an indirect interest in such litigation'. It is 'a legal interest in the subject matter of the litigation, excluding an indirect commercial interest only'. The possibility of such an interest is sufficient, and it is not necessary for the court to determine that it in fact exists. For joinder to be essential, the parties to be joined must have a direct and substantial interest not only in the subject-matter of the litigation but also in the outcome of it."

[15] The question of the High Court's discretion regarding whether or not to grant a declaratur needs no explanation. It can elect to grant declaratory orders even in circumstances where the applicant is not seeking consequential which refers to the ultimate remedy or result that an applicant seeks to obtain through the institution of court proceedings. Such course is taken where justice or convenience dictates that the court should grant a 'declaration to the existence of or the nature of a legal right claimed by the applicant or the existence of a legal obligation due by the respondent.'

[16] In this case, the applicant seeks a declarator confirming that he must be ranked first in the pecking order of the first respondent's creditors. Put differently, he moves the Court to declare his preferential status in the ranking of the creditors. As stated earlier, declaratory relief requires proof of a legally enforceable right. Where the applicant fails to establish the existence of the right asserted, the Court's discretion does not arise and the enquiry ends here. The failure to satisfy the first requirement may render consideration of the remaining requirements for declaratory relief unnecessary.

APPLICATION OF THE LAW TO THE FACTS

[17] The applicant's complaint in this matter is straightforward. He contends that, by virtue of a deed of settlement, subsequently made an order of court, he is entitled to priority of

payment over the other judgment creditors and should be paid first. He further relies on a prior agreement of sale and a subsequent buy-back agreement with the second respondent in respect of the attached property, under which he retained the title deed as security and registered a section 64 consent in terms of the Deeds Registries Act [*Chapter 20:05*]. He contends that this entitles him to payment in priority to the other judgment creditors.

[18] The question that arises, therefore, is whether the applicant has established a clear and existing legal right to preferential ranking sufficient to justify the declaratory relief sought. The documents upon which the applicant's claim is based will be examined in turn.

EXTANT COURT ORDER

[19] The determination of the applicant's status turns on whether he acquired a real security right over the immovable property.

[20] Section 14 of the Deeds Registries Act [*Chapter 20:05*] requires that real rights in immovable property be registered to be enforceable against third parties. It reads, in the relevant part, as follows:

> "Subject to this Act or any other law:
>
> > "The ownership of land may be conveyed from one person to another only by means of a deed of transfer executed or attested by a Registrar….."

[21] In addition, this court in the case of *The Sheriff of Zimbabwe* v *Quality Gas (Private) Limited & Anor HH 265/23 p.4*, confirmed that real rights in immovable property can only be acquired upon registration of title in the Deeds Registry and that any party with less rights, would only have personal rights which can only be exercised against the judgment debtor or the seller. Similarly, in *Takafuma* v *Takafuma 1994 (2) ZLR 103 (5) pp 105-106* the court said;

> "The registration of rights in immovable property in terms of the Deeds Registries Act [*Chapter 1:39*] is not a mere matter of form. Nor is it simply a device to confound creditors or tax authorities. It is a matter of substance. It conveys real rights upon those in whose name the property is registered. See the definition of 'real rights' in s 2 of the Act. The real right of ownership, or *jus in re propria*, is the 'sum total of all the possible rights in a thing."

[22] My understanding of this is that for a party to claim preferential rights in immovable property, that property must in the very least be registered at the deeds registry thus creating a real right on the property which translates to a legally cognisable security. Without such registration, a party holds only personal rights enforceable against the debtor. The reduction of a claim to judgment does not transform an unsecured debt into a secured one. A judgment creditor is entitled to execute, but remains unsecured unless armed with a valid real right. Preference does not arise from the mere establishment of indebtedness.

[23] In *casu*, the applicant places considerable reliance on the court order of 1 June 2025, which incorporated the deed of settlement and confirmed the indebtedness of the second respondent. The court order confirms liability and regulates the circumstances under which the applicant would release title deeds and related documents upon payment of the full sum due. In fact, the applicant would not have been considered a judgment creditor if he had not obtained the court order in question. It is the court order which places him at par with the other creditors competing for the proceeds of any sale in execution against the second respondent's property.

[24] The respondents correctly submitted that the establishment of the applicant's debt is not a basis upon which the applicant can seek preferential treatment. That submission accords with principle. The consent order confirms indebtedness; it does not create a mortgage bond, a notarial bond, a statutory hypothec, or any registered encumbrance. A judgment debt permits execution. It however does not confer secured status.

TITLE DEEDS

[25] A question then arises on whether or not the applicant in holding the original title deeds and documents as security is a secured creditor who is entitled to be paid first ahead of other creditors.

[26] Section 2 of the Insolvency Act [*Chapter 6:04*] defines a secured creditor as one who *"has a preferment right by virtue of any special mortgage, landlord's hypothec or right of retention"*

[27] In *PG Industries Zimbabwe Ltd* v *Jonas Holdings (Pvt) Ltd* HH-336-15 the court said the following about protection of a party's rights:

> "A party who wants to secure protection against claims by third parties to the collateral must secure their interest. For a creditor to have maximum legal rights, the

> security agreement must not only be created but that it must also be perfected. The parties must intend that security of interest be created by the agreement in question. But a security agreement alone will not create a security of interest unless it is perfected. Perfection can generally be through possession depending on the nature of the collateral or execution of specific documents. Once such security of interest is created and perfected then it is enforceable against third parties. If there is an agreement and it is unperfected then the creditor remains subordinate to other secured creditors."

[28] My understanding of the above is that in addition to the applicant holding the original title deeds as security, he could have perfected his claim by taking physical possession of the collateral or registering any of the encumbrances as outlined in section 2 of the Insolvency Act. Confiscating the title deed to an immovable property on its own and signing a "buy-back agreement" cannot be equated to the perfection of security as envisaged by the law. In reality, that set up may be illegal because it is designed to bypass the law. It permits a creditor to appropriate a debtor's pledged property without due process once the debt is not satisfied. Put in another way, it is nothing but a *pactum commissorium.*

[29] The Applicant simply holds a title deed which does not give him a secured right over the proper. That does not make him a secured creditor. His hold on the title deeds not fall within any of the categories of secured creditors specified by law. There is neither a registered special mortgage in his favour, nor is there evidence of a legally recognised hypothec. While he claims to hold the title deed as security, he is not in physical possession of the property. This does not amount to a perfected real security right over immovable property.

SECTION 64 REGISTERED CONSENT AGREEMENT

[30] The applicant also asserts that he holds the title deeds and a Section 64 consent as "security." In *Moyo* v *Fraser & Anor* SC 5/06 it was stated that s 64 of the Deeds Registry Act regulates the rights of the parties in a contract of sale of land bought through instalments. However the rights under s 64 of the said Act, only accrue upon the registration of the agreement of sale with the Registrar of Deeds. Failure to register the agreement is fatal to the accrual of the rights.

Section 64 of the Act provides as follows:

> "(1) Where land is sold in terms of a written contract whereby the purchase price is payable in three or more instalments, the registrar shall, upon the lodging with him in terms of this section of the written consent of the registered owner and the purchaser, endorse on the title deed of the land concerned that such land is subject to the contract.

(2) The endorsement in terms of subsection (1) against the title deed of any land shall confer on the purchaser of the land concerned, subject to this section and to any prior real rights attaching to the land, the following rights—

(a) in the event of the insolvency, assignment or liquidation of the seller's estate or the vesting of the seller's estate in a trustee or assignee in terms of the law relating to insolvency or a proposed sale in execution of the land, and upon him notifying his election thereof within three months of the insolvency, assignment, liquidation or attachment of the land, as the case may be, to the trustee, assignee, liquidator or officer charged with the sale of the land, either—

(i) a charge over the land in favour of the purchaser for the amount of any instalments and deposit paid by him to the seller and for the value of any improvements effected upon the land by the purchaser and valued in terms of subsection (4) less the amount, if any, referred to in paragraph (d) of subsection (5); or

(ii) a right to take transfer of the land subject to the payment of the outstanding balance of the purchase price under the contract or, if the land is encumbered under a prior real right securing a monetary obligation, to the payment of the outstanding balance under the prior real right, whichever is the greater:

Provided that where the land sold under the contract is a portion of land the whole of which is subject to such a prior real right, the purchaser shall be entitled to take transfer of the land upon payment of the sum referred to in subsection (3) or the balance of the purchase price under the contract, whichever is the greater;

or

(b) where the provisions of paragraph (a) do not apply or he has not made an election in terms of that paragraph, the right enforceable against all persons whatsoever to abide by the contract and to take transfer of the land upon fulfilment of the conditions of the contract"

[31] In *casu*, I did not hear that the sale agreements alluded to by the applicant and executed between himself and the second respondent concerned land purchased on instalments. I was only informed that the buy-back agreements entered into by the parties led the applicant to register a s 64 agreement at the Deeds Registry. However, the record does not disclose any evidence of the s 64 consent instrument or proof of its registration on the property despite the respondents raising this in their notices of opposition. Absent any proof of its existence, we can safely conclude that such does not exist. Even it had been produced, the consent would simply be an endorsement which however does not elevate the applicant's claim and place him ahead of other creditors. What would instead have raised the applicant's claim to that of a secured creditor, would have been the registration of a real security right reflected in the Deeds Registry. Such security could include a registered mortgage bond, a special or general notarial bond, a caveat noted against the property, a registered deed of hypothecation, or any other instrument evidencing the registration of a real right in the applicant's favour. The supposed s 64 registered consent agreement in comparison to the above-mentioned

documents registered in the Deeds registry is of no force or effect. It does not make the applicant a secured creditor.

[32] The documents that the applicant seeks reliance upon therefore do not purport to create, register, or perfect any real security right over the immovable property. The applicant's assertion is therefore not legally sound. In the absence of registration or lawful perfection, no real right arises capable of binding third parties.

[33] In contrast, r 69 (16) of the High Court Rules, 2021 provides as follows:

> "Subject to any hypothec existing prior to attachment, all writs of execution lodged with the sheriff, as the case may be, in accordance with subrule (15) shall rank at a proportional rate in the distribution of the proceeds of the property or goods sold in execution."

[34] Clearly, this rule emphasises that once participating writs are properly lodged, the Sheriff is obliged to distribute proceeds in accordance with r 69 and that, in the absence of legally established preference, creditors rank equally. The Sheriff's function in this regard is administrative, not judicial. She implements the statutory framework. She however does not create ranking rights. The *pari passu* principle among unsecured creditors is embedded in the law and may be displaced only by proof of lawful preference. In the absence of a secured creditor, the default position is therefore *pari passu* distribution.

[35] In *casu*, the first respondent communicated that all creditors shall rank equally and that position is consistent with r 69. There is no evidence of misdirection, or failure to apply the Rules. On the contrary, the first respondent acted in accordance with the governing statutory scheme.

CONCLUSION

[36] The applicant's case is premised on the proposition that the consent order of 1 June 2025, read together with his retention of title deeds and an asserted section 64 consent, elevated him above other judgment creditors and entitled him to be treated as a preferential creditor in the distribution of the proceeds of the judicial sale. That proposition is not supported by law.

[37] The court order of 1 June 2025 did no more than confirm the second respondent's indebtedness and regulate the circumstances under which certain documents would be released upon full payment. It did not create a mortgage bond, notarial bond, or any

registrable encumbrance, nor did it purport to constitute or perfect a real right in the applicant's favour. In execution, preference is not a consequence of indebtedness being judicially confirmed. It however is a consequence of a legally recognisable security right that is enforceable against third parties and properly perfected in accordance with the applicable registration regime.

[38] The applicant bore the burden of demonstrating, on the papers, a security right of that nature. He produced none. In these circumstances, the applicant remains, in law, an unsecured judgment creditor, notwithstanding the magnitude of the debt and the existence of an order confirming it. Rule 69 (16) of the High Court Rules, 2021 governs the distribution of proceeds where participating writs have been lodged. In the absence of a proved secured preference, the Sheriff is obliged to proceed on a *pari passu* basis among participating judgment creditors.

[39] The applicant has failed to establish the essential foundation for the declaratory relief sought namely, an existing and legally enforceable right to preferential ranking. Without such a right, there is no basis upon which the Court may competently grant a declaration that would disturb the statutory distribution scheme.

[40] Resultantly, as demonstrated herein the applicant has failed to demonstrate the existence of a real security right or the registration or perfection of such right and any statutory or common law basis for preferential ranking. Absent proof of a legally enforceable preferential right, the foundational requirement for declaratory relief is not met. Accordingly, the application cannot succeed.

COSTS

[41] The application was framed as one seeking clarification of legal rights in the context of execution. While the issues raised were of a legal nature, the governing principles are well established. The applicant sought to displace the statutory scheme of distribution without demonstrating the existence of a legally cognisable and perfected security right. He failed to establish a foundation for the declaratory relief sought.

[42] There is no basis for a departure from the general rule that costs follow the event. The respondents were compelled to oppose proceedings which, on the applicable law, were unsustainable.

[43] Accordingly, costs shall follow the event on the ordinary scale.

IT IS ORDERED THAT:

1. The application be and is hereby dismissed.

2. The applicant shall pay the respondents' costs

MUNGWARI J:…….

Atherstone and Cook, applicant's legal practitioners
Nyakutombwa Legal Counsel, respondent's legal practitioners